Cambridge (CIE) A Level Business

Your notes

Financial Statements (A Level)

Contents

- Using Financial Statements Effectively
- Inventory Valuation & Depreciation

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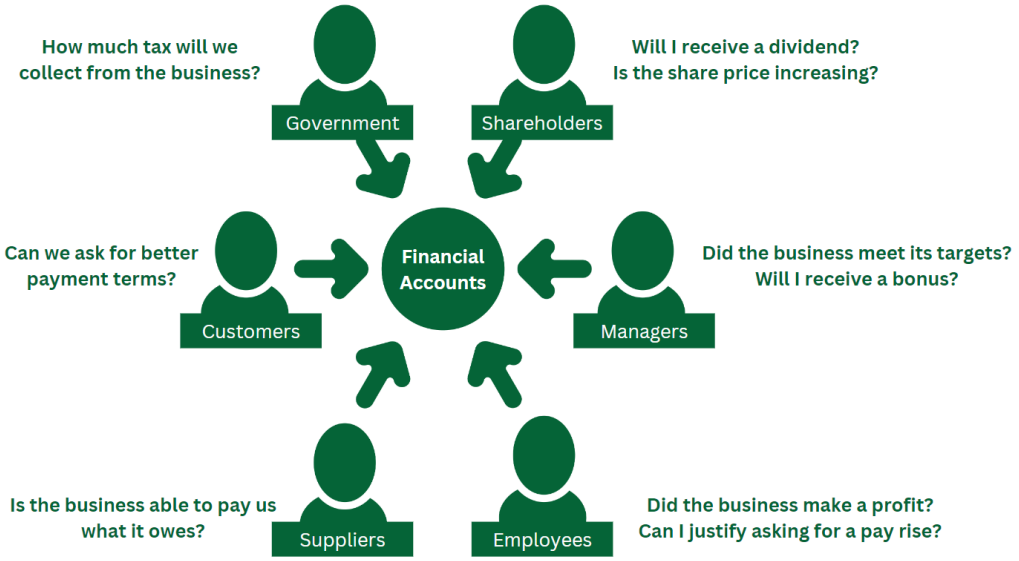
An introduction to financial statements

- Financial statements can be used to help a business determine **how successful** it has been in **achieving its objectives** over a given period of time
- In particular, **stakeholders** can use financial statements to answer a range of questions

Stakeholder use of financial accounts



Financial accounts can help stakeholders answer a range of questions

- At the **end of the financial year**, companies must produce a set of financial statements that include two key documents
  - The **statement of profit or loss** shows the **revenue** earned, **costs** incurred and **profit** (or loss) made by the company over the previous year
  - The **statement of financial position** shows the **assets** owned, **liabilities** owed and **net worth** of the business at a particular point in time (usually the last day of the accounting period)
- These financial statements must be **submitted to the relevant government agency** and can usually be **viewed by any interested party**
- **Sole traders** and **partnerships** also commonly produce these documents in order to **assess their performance**

The Annual Report

- Companies compile **financial statements** in a larger document called the **Annual Report**
  - Public limited companies publish very detailed, professionally designed documents

- Along with the financial statements, the Annual Report also usually contains
  - A **letter from the chairman** or **board of directors** as well as a statement from the **CEO**
  - A current **profile of the company**, including core objectives, recent successes and future plans
  - An overview of **corporate social responsibility** strategies
  - Other financial documents, such as a **cash flow statement**
  - Details of **key personnel**, including remuneration of senior managers and changes to the board of directors
  - **Shares** and **dividends** issued
  - The appointed **auditor**'s report

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Stakeholder use of the Annual Report

Stakeholder	Use of the Annual Report
Directors and managers	▪ Assess business performance over a specific period of time ▪ Compare performance to previous periods ▪ Budgeting and target-setting for departments and individuals ▪ Supporting strategic decision-making
Employees	▪ Determining the stability of the business to establish whether their jobs are secure ▪ Discovering future business plans to support their career decisions ▪ Supporting a claim for increased pay
Shareholders	▪ Assess the **return on their investment** in the company ▪ Assess business performance to determine potential for continued investment ▪ Understand the level of dividend they will receive
Government	▪ Determine the amount of **tax** a company is required to pay ▪ Assess business stability to determine its ability to continue to employ workers ▪ Ensure that legal requirements are met in the compilation of accounts

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Suppliers	▪ Assess the the liquidity of a company to determine whether it is able to pay for goods it orders ▪ Determine whether the company is **creditworthy**
Local community	▪ Assess business stability to determine its ability to continue to employ workers ▪ Investigate the company's commitment to locally-relevant aspects of corporate social responsibility, such as minimising pollution

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Examiner Tips and Tricks

The focus of this topic is the ways in which stakeholders use financial information from the financial accounts and annual report. Don't worry too much about remembering the structure and contents of financial statements.

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Introduction to depreciation

- Depreciation is an **accounting technique** which recognises that **the value of fixed (non-current) assets falls** over time
  - It reflects **wear and tear**, the reduction in an asset's value **as it ages** or **obsolescence**
- Depreciation aims to **allocate the historic cost of the asset** in a way that **reflects its reduction in value over time**
  - The **current value of assets** are recorded accurately in the **statement of financial position**
  - The **loss in the value of an asset over an accounting period** is recorded accurately in the **statement of profit or loss**

Reasons for calculating depreciation

Accurately calculate the businesses value	Plan effectively for the replacement of assets	Realistically reflects the costs of assets in financial statements
▪ As assets depreciate, their **current value is recorded in the balance sheet** ▪ Historic cost is an inaccurate measure as time goes by ▪ Provides an accurate representation of **capital employed**	▪ Understanding the depreciation rate of assets helps a business to **budget for future replacements** ▪ Avoid sudden financial strain ▪ Schedule replacements to avoid disruption to production	▪ Depreciation is an **expense recorded in the income statement** ▪ Reduces reported operating **profit** ▪ Provides an accurate representation of a businesses financial performance

Net realisable value

- Inventory should always be **valued at its purchase price** (also known as its **historic cost**) **or, if it is lower, at its net realisable value**
  - Accountants are encouraged to follow the **principle of conservatism** when compiling accounts
    - **Over-valuing assets** would lead to the **net worth** of a business being reported higher than it should be

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- It would also mean that insufficient expenses are recorded, leading to a higher than appropriate level of **profit** being recorded
- The **net realisable value** is calculated using the formula

$$\text{Net realisable value} = \text{Anticipated selling price} - \text{Selling costs}$$

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Worked Example

Henne Organics Ltd is an online retailer of clothing. At the end of the year, a stocktake reveals two crates of unsold baby clothing. It intends to sell these items to a wholesale customer at an 80% discount.

Number of items	240
Purchase price	£3.40
Selling price	£16

[a] **Calculate** the historic cost of the baby clothing.

(1)

[b] **Calculate** the net realisable value of the baby clothing.

(2)

[c] **Explain** which value should be recorded as the stock's value in the statement of financial position.

(3)

Step 1: Calculate the stock's historic cost

$$= 240 \times £3.40$$

[1]

$$= £816$$

Step 2: Calculate a reduction of 80% of the purchase price

$$= 0.80 \times £16$$

[1]

$$= £3.20$$

Step 3: Calculate the net realisable value

$$= 240 \times £3.20$$

[1]

$$= £768$$

Step 4: Explain which value should be recorded as the stock's value in the statement of financial position

- The principle of conservatism should be applied **[1]** so the net realisable value of £768 should be recorded as the stock's value **[1]** in the statement of financial position. This is because it is lower than its historic cost of £816 **[1]**

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The difficulties of valuing inventory

- **Accurately valuing** inventory can be **difficult** for several reasons
  - The **actual number of inventory items may be different to the number recorded** in stock management systems
    - These differences can arise as a result of **errors in recording deliveries**, **theft**, **loss** or **damage**
    - Regularly carrying out **stocktakes** can identify and correct these discrepancies, but they are time-consuming, costly and distract workers from productive tasks
  - The fluctuation of **market prices** means that the **value of inventory can change frequently**
    - Market prices can change as a result of **supply and demand**, **economic conditions**, and changes in the **cost of extracting or processing raw materials**
  - Some items of inventory may **spoil** or **become obsolete** before the business has the opportunity to use or sell them
    - These losses are difficult to accurately predict but need to be fully accounted for when valuing inventory
  - **Valuing work in progress** is especially complex because it involves **estimating the value of partially-completed goods**
    - This valuation can be somewhat **subjective**, relying on experience and careful judgment, and is influenced by factors such as how close to completion the inventory is

Straight-line depreciation

- The straight line method reduces the value of an asset by the **same value each year of its useful life**
- Three key **variables** are required to calculate the **annual rate of depreciation** of an asset
  - **Life expectancy**
    - The number of years it is expected to be used before it will need to be replaced
  - **Residual value**
    - The scrap value of the asset at the end of its useful life
  - **Historic cost**
    - The initial cost of purchasing the asset
- The **annual rate of depreciation** is calculated using the following formula

$$\text{Annual depreciation} = \frac{\text{Historic cost} - \text{Residual value}}{\text{Life expectancy}}$$

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Worked Example

Luftig Tours sells hot air balloon flights in the Salzburg area of Austria. The company recently paid €280,000 for a new balloon. Its life expectancy is anticipated to be 7 years. Its residual value is forecast to be €52,500.

Calculate the annual rate of depreciation of the new hot air balloon.

(2)

Step 1: Deduct the residual value from the historic cost

$$= €280,000 - €52,500 \quad \textbf{(1)}$$

$$= €227,500$$

Step 2: Divide the result by the life expectancy

$$= \frac{€227,500}{7 \text{ years}} \quad \textbf{(1)}$$

$$= €32,500$$

- Once the annual rate of depreciation has been calculated, **until the end of its life expectancy**
  - It is recorded each year as an **expense** in the **statement of profit or loss**
  - The **value of the asset is reduced each year** by this amount, with this value being placed in the **statement of financial position** and recorded as its **net book value**

Worked Example

Luftig Tours sells hot air balloon flights in the Salzburg area of Austria. The company recently paid €280,000 for a new balloon. Its life expectancy is anticipated to be 7 years. Its residual value is forecast to be €52,500.

(a) **Calculate** the net book value to be recorded in the balance sheet for each of the hot air balloon's years of useful life

(4)

(b) **Calculate** the accumulated depreciation for each year of the the hot air balloon's useful life

(2)

Step 1: Create a table with the following headers

Year	Depreciation	Net book value	Accumulated depreciation
0			
1			
2			
3			
4			
5			
6			
7			

Step 2: Complete Year 0 with the historic cost

Year	Depreciation	Net book value	Accumulated depreciation
0	0	€280,000	

Step 3: Calculate Year 1 by deducting the annual rate of depreciation

$$\text{Year } 1 = €\,280,000 - €\,32,500 \quad (2)$$

$$= €\,247,500$$

Step 4: Record these values in the table

Year	Depreciation	Net book value	Accumulated depreciation
0	0	€280,000	
1	€32,500	€247,500	

Step 5: Calculate Years 2 to 7 in the same way

Year	Depreciation	Net book value	Accumulated depreciation
0	0	€280,000	
1	€32,500	€247,500	
2	€32,500	€215,000	
3	€32,500	€182,500	
4	€32,500	€150,000	
5	€32,500	€117,500	

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6	€32,500	€85,000	
7	€32,500	€52,500	

(2)

Step 6: Calculate accumulated depreciation by adding the annual rate of depreciation each year

Year	Depreciation	Net book value	Accumulated depreciation
0	0	€280,000	0
1	€32,500	€247,500	€32,500
2	€32,500	€215,000	+ €32,500 = €65,000
3	€32,500	€182,500	+ €32,500 = €97,500
4	€32,500	€150,000	+ €32,500 = €130,000
5	€32,500	€117,500	+ €32,500 = €162,500
6	€32,500	€85,000	+ €32,500 = €195,000
7	€32,500	€52,500	+ €32,500 = €227,500

(2)

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Strengths and weaknesses of the straight-line method

- The main benefit of the straight line depreciation over other methods is that it is **simple to calculate**
- In many countries it is **preferred for tax purposes** as it allows for a consistent deduction of depreciation expenses over the asset's useful life

Evaluation of straight-line depreciation

Strengths	Weaknesses

▪ **Simplicity**
  ▪ Straightforward calculations make it a **practical method** for small businesses or assets with a **predictable** decline in value
	▪ **Doesn't reflect actual usage**
	  ▪ If an asset is heavily used in the early years and experiences less use later on this method may not accurately represent its true value

▪ **Equal allocation** ▪ Suitable when the asset's usefulness is expected to decline **steadily** over time	▪ **Market value ignored** ▪ Some assets - such as vehicles - depreciate rapidly in the early years and more slowly/not at all in later years
▪ **Stability** ▪ Predictability can be helpful for **budgeting** and **financial planning**	▪ **Mismatch with reality** ▪ May not match the **actual wear and tear** of an asset leading to an inaccurate representation of its value

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Examiner Tips and Tricks

It is important that you understand the use of depreciation in the annual accounts.

Remember, depreciation is recorded as an expense in the statement of profit or loss - but the depreciated value of an asset needs to be recorded in the statement of financial position.

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